

Mature Retirees—Asset Allocation

The asset allocation of a mature retiree's portfolio can vary depending on who is going to use the money. There should be two years of living expenses in cash and short-term bonds, and there should not be any tip-of-the-pyramid speculative investments. However, the allocation of the long-term liquid investments can vary considerably.

On the one hand, a portfolio should be conservatively managed to carry a retiree through the remainder of his or her life. On the other hand, the allocation could favor the needs and ages of the beneficiaries if a retiree is not going to need all of his or her money. Generally, a portfolio is managed based on a combination of both scenarios. [Figure 12-5](#) highlights suggested asset allocation for mature retirees.

As in the other stages, the range of allocations presented in [Figure 12-5](#) is three separate portfolios. Trying to time markets by moving between allocations is not a prudent strategy. Tables 12-7 and 12-8 give sample portfolios for investors in this stage.

The asset allocation recommendations outlined in Tables 12-7 and 12-8 represent that portion of the portfolio that will be used by a mature retiree during his or her lifetime. More than likely, a majority of the assets are not going to be used by the retiree. Rather, they will be passed on to heirs. Therefore, a portion of the portfolio should be allocated based on the needs of those inheriting the assets.

FIGURE 12-5

Mature Retiree Allocation Range